## THE LPP INITIATIVE

**Land pooling policy envisaged aggregating 65,533 acres across Punjab for industrial zones/ residential projects**

**Marketed as a solution to save state's faltering economy, boost industry**

**Farmers were to get plots and annuities—Rs 50,000 to Rs 1 lakh per acre—till their land was developed**

**Master plan visualised whole new townships, hoped to attract Rs 10,000 crore in investments, create 150,000 jobs**

## WHAT WENT WRONG

**LPP sparked protests from farmers' unions, Opposition, who called it a 'land-grabbing scheme'**

**Farmers had doubts about compensation plan, why so much land was needed**

**HC red-flagged lack of social/ environmental impact assessments, vague rehabilitation plans and diversion of fertile farmland**

**With court, farmers railing against it, Mann drops controversial LPP**

protests. When the protesters were forcefully cleared in a midnight operation, it was perceived as a betrayal by the AAP government.

### SLOWDOWN AHEAD

The Mann government is in a bind. Punjab's economy is not in the best of shape. An analysis of industrial performance of the past two decades reveals a troubling slowdown. The early 2000s saw strong industrial growth—nearly 7 per cent annually—but that had collapsed to about 2 per cent annually by the first part of the previous decade (2010-15). The next seven years saw only a partial revival, with growth creeping back to the 4.6-5.5 per cent range (manufacturing grew by 4.6 per cent) in 2024-25. Most economists believe industry in the state needs a fresh strategy and diversification.

Punjab had attracted export-oriented units in the past, but many of them have, over the years, moved to neighbouring Himachal Pradesh and Haryana, or to Madhya Pradesh, whether to take advantage of tax breaks, the changed political ecosystem, or due to logistics requirements. Punjab's GDP growth has hovered around 5-6 per cent, trailing national averages. Meanwhile, debt nearing 48 per cent of its GSDP and interest burdens consuming 23 per cent of revenues painted a picture of a state economically squeezed from every side.

However, for many landowners, these projections felt speculative. Sukhdev Singh Kokrikalan of the Bharatiya Kisan Union (Ekta-Ugrahan) asks, "Why didn't they use barren government land? Why take our fertile soil?" Farmers remembered the defunct industrial zones, the Rajpura power plant and Mohali SEZ, projects that had left their land in a limbo.

### ANGER MANAGEMENT

At the heart of the anger was the feeling of being dispossessed in the name of development. Unlike outright land acquisition, land pooling doesn't compensate farmers with market-linked rates or upfront payments—instead, it offers a future promise: small plots in developed areas, annuities spread over 15-20 years, and commercial sites based on a fixed formula.

Most pooling schemes till now have been enforced through administrative orders by the Punjab Urban Planning and Development Authority (PUDA) or GMADA, the farm union leaders allege, often bypassing the gram sabhas. With no statutory backing through state legislation, the entire framework operates in a legal grey zone. The farmers also question why the government could not directly acquire land under the Land Acquisition, Rehabilitation and Resettlement (LARR) Act of 2013, which at least mandates consent, social impact assessments and market-based compensation.

By the time the government order retracting the LPP came, 100-odd panchayats, including 43 in Ludhiana, had passed resolutions rejecting the policy. Even a few AAP functionaries had registered their protest. The party's Anandpur Sahib MP, Malvinder Singh Kang, went on social media to express his unhappiness (he later deleted the post), calling for dialogue and 'trust-building' before advancing the policy.

For the Opposition, the LPP offered another opportunity to show up the AAP government and score some brownie points with the farmers. Shiromani Akali Dal (SAD) chief Sukhbir Badal had condemned it as a "land grabbing scam", while ex-Congress CM Charanjit Channi vowed to stop the ones that had "backstabbed Punjab's *annadaata*". Even the BJP was planning a 'Save Land, Save Farmers' yatra.

Those plans have come undone, but Mann still faces some vexing issues: with the state economy in a shambles, and trust levels of the AAP government at an all-time low, can he orchestrate a revival? The clock is ticking, assembly elections are due in Punjab in February 2027. The next few months will show whether the former stand-up comedian has it in him to pull himself and AAP out of the mess they are in and make a fight of it at the hustings. ■